CAR & GENERAL (KENYA) PLC

CONDENSED UNAUDITED RESULTS FOR THE HALF YEAR ENDED 31 MARCH 2021

Commentary on Results

Turnover for the six months to 31 March 2021 was KSh 8.2 billion representing an increase of 28% over the same period last year.

Profit after tax for the period amounted to Ksh 460m as compared to Ksh 164m in the previous period. The performance improved due to higher sales in our consumer business (two wheelers and three wheelers) in Kenya and Tanzania. Volumes in our equipment businesses (generators, construction equipment, tractors and forklifts) also increased particularly in Doosan equipment.

From a balance sheet perspective, we have generated sufficient cash flows to fund future business growth. Our working capital management has witnessed considerable improvement in efficiency during the period.

The diversity and sustainability of our business continues to strengthen as highlighted by the performance of the various segments.

Our Tanzania trading operation has seen good growth in turnover and profit levels while our Uganda trading operation has been stable.

The Poultry operation in Tanzania has also traded profitability due to stability in pricing and demand.

On Investment Property, Nairobi Mega on Uhuru Highway has been affected by the ongoing Covid restrictions and road construction which may result in a reduction in rental income in the near term.

Our joint venture with Cummins performed positively and is striving to achieve targeted volumes despite the challenges posed by various business constraints.

Our associate investment in Watu Credit Limited continues to perform well.

From a community perspective, we continue to make a significant impact on peoples' lives with over 500,000 customers using our products and our services for their well-being.

Future Outlook

Given the ongoing Covid pandemic, the next six months look unpredictable across all business sectors. Our focus will be on growth in market share, cost control, preserving cash, protecting product margins and increasing working capital efficiencies. We have the opportunity to become a more focussed organization.

In respect of new ventures, we have made an investment in a helmet manufacturing facility which will begin production in Q3. We expect this venture to turn profitable next financial year.

Dividends

The Directors do not recommend an interim dividend.

Nicholas Nganga
Chairman

SUMMARY CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED 31 MARCH 2021

	6 Months to 31 March 2021 Sh '000	6 Months to 31 March 2020 Sh '000
Revenue	8,194,696	6,325,945
Gross profit	1,466,985	1,039,755
Other income	14,871	27,849
Impairment provision for financial assets	2,215	-
Operating and administrative expenses	(744,036)	(644,748)
Share of profit in an associate	188,773	120,001
Share of profit in joint venture	19,537	17,187
Earnings before Finance Costs, Depreciation, Armortization and Taxation - EBITDA	948,345	560,044
Finance costs	(192,687)	(231,868)
Lease interest charge	(23,200)	(17,434)
Net foreign exchange gain/ (loss)	(24,528)	(8,858)
Depreciation of Property, Plant & Equipment	(47,161)	(40,573)
Armortisation of Intangible Assets	(1,834)	(2,281)
Depreciation of Right of Use Asset	(50,112)	(49,774)
Profit before taxation	608,823	209,256
Taxation (charge)/credit	(148,208)	(44,492)
Profit for the year	460,615	164,764
Other comprehensive loss	(42,075)	(1,746)
Total comprehensive income for the period	418,540	163,018
Profit for the period attributable to;		
Owners of the parent	460,957	165,042
Non-controlling interests	(342)	(278)
	460,615	164,764
Total comprehensive income attributabel to:		
Owners of the parent	418,882	163,296
Non-controlling interests	(342)	(278)
	418,540	163,018
	Sh	Sh
Earnings per share - basic and diluted	11.49	4.12

SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2021

	6 Months to 31 March 2021	6 Months to 31 March 2020
ASSETS		
Non-current assets		
Investment properties	3,510,473	3,495,491
Property, plant and equipment	1,835,202	1,730,379
Right of Use Asset (RoUA)	514,608	415,612
Other Non-current assets	1,276,169	960,838
	7,136,452	6,602,320
Working Capital		
Current assets	5,038,197	5,218,689
Current liabilities	(5,650,121)	(5,753,646)
Net working capital	(611,924)	(534,957)
Total net assets	6,524,528	6,067,363
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	200,516	200,516
Reserves and retained earnings	3,907,102	3,356,299
Non-controlling interests	218,160	218,717
Total equity	4,325,778	3,775,532
Non-current liabilities		
Deferred tax liabilities	895,712	932,383
Due to related parties	165,267	159,205
Lease Liability	461,138	357,527
Borrowings	676,633	842,716
	2,198,750	2,291,831
Total equity and non current liabilities	6,524,528	6,067,363

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE SIX MONTHS ENDED 31 MARCH 2021

	Share capital Shs'000	Retained earnings and other reserves Shs'000	Non-controlling interests Shs'000	Total Shs'000
6 Months to 31 March 2020				
At 1 October 2019	200,516	3,193,003	218,995	3,612,514
Profit for the period	-	165,042	(278)	164,764
Other comprehensive income/(loss)	-	(1,746)	-	(1,746)
Dividend paid - 2019	-	-	-	-
At 31 March 2020	200,516	3,356,299	218,717	3,775,532
6 Months to 31 March 2021				
At 1 October 2020	200,516	3,520,302	218,502	3,939,320
Profit for the period	-	460,957	(342)	460,615
Other comprehensive income/(loss)	-	(42,075)	-	(42,075)
Dividend paid - 2020	-	(32,082)	-	(32,082)
At 31 March 2021	200,516	3,907,102	218,160	4,325,778

SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE SIX MONTHS ENDED 31 MARCH 2021

	6 Months to 31 March 2021 Sh '000	6 Months to 31 March 2020 Sh '000
Profit before taxation	**608,823**	**209,256**
Net cash (used in)/generated from operations	298,890	426,222
Corporate tax paid	(83,268)	(29,296)
Net cash used in investing activities	(94,338)	(612,855)
Net cash generated from/(used) in financing activities	(136,100)	313,974
Net increase/(decrease) in cash and cash equivalents	(14,816)	98,045
Cash and cash equivalents at the beginning of the period	229,779	79,380
Effects of exchange rate changes on the balance of cash held in foreign operations	(389)	(181)
Cash and cash equivalents at the end of the period	214,574	177,244

Basis of Preparation

The accounting policies and methods of computations followed in the preparation of these interim financial statements are consistent with those used in the annual financial statements as at and for the year ended 30 September 2020.

Appointment of Company Secretary

The Board of Directors of Car & General Kenya Plc wishes to announce the appointment of Mr. Conrad Nyukuri of Adili Corporate Services Kenya as the Company Secretary with effect from 13th May 2021 in place of Mr. N P Kothari who is retiring.

Conrad is the Managing Partner of Adili Corporate Services Kenya. He is a Certified Public Secretary with extensive experience in corporate secretarial services and governance. He is also an accredited Governance Auditor.

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